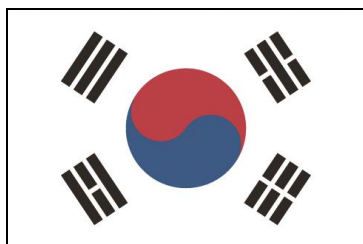


THE OECD TAX-BENEFIT MODEL FOR KOREA

Description of policy rules for 2018



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Description of policy rules for 2018

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Preface

The [OECD Tax-Benefit model \(TaxBEN\)](#) incorporates detailed policy rules for tax liabilities and benefit entitlements as they apply to individual families across OECD member countries. Its main use is to calculate the amount of taxes that people are liable to pay, and the government transfers they are likely to receive, in different family and labour-market situations. The model includes legal policy rules that are relevant for people of **working age** (from 18 years old until the statutory retirement age) and their dependent children. Income tax liabilities and benefit entitlements are calculated for a broad set of *stylised* families (“vignettes”, e.g. a married couple of 40 years old adults with two children aged 4 and 6 respectively). Model users are free to change many of these characteristics, including the age and number of children, activity status of adult members, hours of work, current and past earnings levels, unemployment duration, social contribution records, and housing-related costs. The model has been updated annually since the early 2000s for most OECD countries.

TaxBEN’s policy scope includes the main taxes on employment income (earnings), social contributions paid by individuals and by employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits and support for non-parental childcare are included for a sub-set of countries and years. The most important policy areas that are outside the scope of the model include taxes on wealth (e.g. taxes on immovable and unmovable properties, including local taxes), indirect taxes (e.g. VAT), early-retirement benefits, sickness benefits and in-kind transfers (e.g. free school meals, subsidised transport and free health care).

This report describes the taxes and benefits that are included in the model and focuses on the rules that are relevant for family, individual and labour-market circumstances that are within its scope. The **Annex** provides information on other cash benefits and taxes on employment incomes that can be relevant for some members of the working-age population, but which are not included in the TaxBEN model.

Reading notes and further details on the scope and content of this report

- The **reference date** for policy rules described in this report is **January 1, 2018**.
- **Guidelines for completing and updating this report** are provided [here](#).
- Further information on the model, model results, and references to reports and analytical uses is available on the [project website](#). A [methodology](#) document provides a full description of the assumptions underlying the model as well as the model choices that users can make. The symbol  in the text provides a link to a glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- In order to facilitate transparency between the policy descriptions and the associated code in the model, the variable names are indicated in the text in square brackets using the following format: **[variable name]**, for instance: **[AW]** for the average wage.

The OECD tax-benefit model for Korea: Policy rules in 2018

1. Reference wages

The 2018 (preliminary) average wage **[AW]** is KRW 47 351 770 (Korean Won).¹

The minimum wage **[MIN]** in 2018 is KRW 7 530 per hour. The annual minimum wage is computed by multiplying the minimum monthly wage by 209 working hours per month² and by 12 months, i.e. $\text{KRW } 7\,530 * 209 * 12 = \text{KRW } 18\,885\,240$.

2. Unemployment benefits

Unemployment benefits can be categorized into two main groups:

1. Job-seeking Allowance which provides cash payments to maintain workers' standards of living and to facilitate their re-employment (see Section 2.1.), and
2. Employment Promotion Allowances, split into:
 - Early Re-employment Allowance, aimed to facilitate recipients' re-entry into a job (classified in the model as in-work benefit and described in Section 6.1.);
 - (Vocational) Skills Development Allowance, paid to those who participate in training from vocational training institutes (*not covered by the model*);
 - Wide-area Job-seeking Allowance, paid to those who are seeking jobs 50 km away from their residence (*not covered by the model*);
 - Moving Allowance, paid to those who move to another place to take jobs or training (*not covered by the model*).

2.1. Job-seeking allowance (구직급여)

Code in the OECD tax-benefit model:³ **[UI_p; UI_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and not taxable. 

¹ AW refers to the Average Wage estimated by the [Centre for Tax Policy and Administration](#). For more information on methodology see the latest [Taxing Wages publication](#).

² 209 working hours per month include 48 hours per week (40 standard working hours per week + 8 hours of paid weekly holiday) multiplied by 4.35 weeks per month.

³ The variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse.

2.1.1. Eligibility conditions

Age: There is no age limit in the eligibility for unemployment benefits, although those newly employed at the age of 65 and older are excluded from employment insurance.

Contribution/employment history: Must be insured for 180 days (i.e. approximately 6 months) during 18 months before leaving a job.

Behavioural requirements and related eligibility conditions:  Must have willingness and capacity to work (those who voluntarily leave job and those who are dismissed due to their own faults are not entitled to unemployment benefits) and must engage in active job-search. TaxBEN assumes that these compulsory conditions are satisfied when simulating unemployment benefits.⁴

2.1.2. Benefit amount

The daily basic allowance is 50% of the daily wage. The daily wage is the amount calculated by dividing the wage paid in the last three months preceding unemployment by the total number of working days of the same three-month period. The benefit is paid 7 days a week. The minimum benefit is 90% of the minimum wage, i.e. $KRW\ 7\ 530 * 8 * 0.9 = KRW\ 54\ 216$ per day or $KRW\ 54\ 216 * 7 * 4.35 = KRW\ 1\ 626\ 480$ per month. The maximum monthly benefit is announced at the end of the previous year (i.e. KRW 1800000 in 2018).

2.1.3. Benefit duration

The maximum duration of unemployment benefit ranges from 3 to 8 months, depending on the age of the recipient at the time of job loss and the period of contribution to the Employment Insurance System (EIS):

Age (years)	Job-Seeking Allowance duration (days)				
	Period of contribution to the EIS				
	Under 1 year	1-3 years	3-5 years	5-10 years	Over 10
Under 30	90	90	120	150	180
30-50	90	120	150	180	210
Over 50 (or disabled)	90	150	180	210	240

There is a 7 day waiting period (*not covered by the model*).

2.1.4. Means test

The benefit is not means-tested.

2.1.5. Tax treatment

The benefit is not taxable.

⁴ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see Immervoll and Knotz (2018, forthcoming), [Langenbucher \(2015\)](#) and [Venn \(2011\)](#).

2.1.6. *Interactions with other components of the tax-benefit system*

Job-seeking allowance is included in the income test for means-tested benefits, such as National Basic Livelihood Security, housing benefit, and lone-parent support subsidy.

2.1.7. *Combining benefit receipt and employment/starting a new job*

If a recipient finds a job or earns income from the job he/she found, such an incident should be notified to the Employment Security Office. If the income earned divided by the number of allowance days to which the beneficiary is entitled exceeds daily job-seeking allowance, such days' allowance will be deducted from the total job-seeking allowance the recipient is originally entitled to.

The payment of unemployment benefit is suspended in case the beneficiary gets re-employed and contributes to the EIS. The same applies if the beneficiary works 60 hours or more per month.

See also Early Re-employment Allowance (Section 6.1.).

3. Social assistance and housing benefits

3.1. *National Basic Livelihood Security* (국민기초생활보장제도)

Code in the OECD tax-benefit model: [\[SA\]](#)

The government enacted the National Basic Livelihood Security (NBLS) Act in September 1999, and fully implemented the system in October 2000. The so called “customized NBLS” was introduced in July 2015 to strengthen the previous NBLS program by providing customized aids for cost of living, medical services, housing, and education based on the needs of recipients.

NBLS is a non-contributory benefit, means-tested and not taxable.

3.1.1. *Eligibility conditions*

All people who live under the poverty line are provided financial benefit regardless of their working ability. Those aged 18 to 64 with work capability must participate in the self-help work program. The eligibility to NBLS benefits is based on recognized income, which is a combination of assessed income and converted property income (see Section 3.1.4.). For households consisting of only those without work capacity (such as elderly, severely disabled, etc.) a special rule exempting property from calculation of income is applied.

3.1.2. *Benefit amount*

The benefit amount is calculated as a difference between total net household income and the income criteria (see Section 3.1.4.).

3.1.3. *Benefit duration*

Benefit can be granted for unlimited time (as long as eligibility holds) and without a waiting period.

3.1.4. Means test

The recognized income of a recipient's household should be less than the eligibility criteria. The criterion in 2018 equals 30% of the median income. The median income and the corresponding criteria for 2018 are:

Size of household (persons)	1	2	3	4	5	6
Median income (KRW, thousands per month)	1 672	2 847	3 683	4 519	5 355	6 191
Criterion for cost of living benefit (KRW, thousands per month)	501	854	1 104	1 355	1 606	1 857

Property value is converted into a monetary amount and added to the income amount (*assumed to be negligible in the model*).

The costs generated due to persons with disabilities, single-parents, patients who require a long-term medical treatment are deducted from the earned income (*not covered by the model*).

3.1.5. Tax treatment

The benefit is not taxable.

3.1.6. Interaction with other components of the tax-benefit system

NBLS supplements all other support for those who cannot maintain the basic standards of living on their own or even after receiving all possible support from the people with support obligations and other sources, including government benefits and allowances. The model assumes that support from the people with support obligations is not forthcoming. A person who receives job-seeking allowance is not eligible for NBLS.

3.1.7. Combining benefit receipt and employment/starting a new job

10-50% of the income earned by the disabled in the "Job Rehabilitation Programmes", "Self-Support Cooperative", students, the elderly is deducted from the earned income to encourage work among the recipients (*not covered by the model*).

3.2. Housing benefit for rented accommodation (주거급여)

Since 1999 housing benefit was provided as part of the National Basic Livelihood Security (NBLS). The benefit was a fixed subsidy based on household income and the number of people in the household. In 2015, the Korean government passed the new Housing Benefit Act to relieve the rent burden and to ensure the minimum housing standard for vulnerable households. It transformed housing benefit into a stand-alone programme. The monthly cash subsidy is based on household income, rent level, family size, and location. Locations are divided into four categories: Seoul, Seoul Metropolitan Area, other metropolitan areas, and small cities and rural areas.

This is a non-contributory benefit, means-tested and not taxable.

Code in the OECD tax-benefit model: [\[HB\]](#)

3.2.1. Eligibility conditions

Households whose recognized income level is less than 43% of median income and who has no person with the duty of support or cannot receive support are eligible for the housing benefit. The requirement for having no person with the duty of support is scheduled to be abolished in October 2018.

The income limits in 2018 are:

Size of household (persons)	1	2	3	4	5	6
Benefit amount (KRW, ten thousands per month)	72	122	158	194	230	266

3.2.2. Benefit amount

- Households in rental housing: the benefit amount is based on the minimum residential criteria; standard rental fees (KRW 140 000 – 403 000 per month) are calculated according to region and the number of family members.

Housing benefit (Thousand KRW), 2018:

Region Household size	Grade 1 Seoul	Grade 2 Gyeonggi-do Incheon	Grade 3 Metropolitan city, Sejong-si	Grade 4 Other region
1	213	187	153	140
2	245	210	166	152
3	290	254	198	184
4	335	297	231	208
5	346	308	242	218
6	403	364	276	252

The values for Seoul are used in the model.

- Owner-occupied households (*not covered by the model*): housing repair cost is supported after housing deterioration level is established:

Type of repair	Light repair	Medium scale repair	Large scale repair
Amount of benefit (KRW, million)	3.78	7.02	10.62
Repair cycle	3 years	5 years	7 years

3.2.3. Benefit duration

Benefit is provided on a continuous basis as long as eligibility conditions are met.

3.2.4. Means test

The recognized income of a recipient's household should be less than the eligibility criteria (43% of the median income).

3.2.5. Tax treatment

Benefits are not taxable.

3.2.6. Interaction with other components of the tax-benefit system

Housing benefits are offered regardless of other social welfare benefits.

3.2.7. Combining benefit receipt and employment/starting a new job

See Section 3.1.7.

4. Family benefits

4.1. Lone-parent support subsidy (한부모 가족지원금)

Code in the OECD tax-benefit model: [\[LPB\]](#)

This is a non-contributory benefit, means-tested and not taxable.

4.1.1. Eligibility conditions

Recipients must satisfy the following conditions in order to be recognized as eligible lone-parent households:

- A household must consist of the head of household (mother/grandmother or father/grandfather) and children aged less than 18 (22 if attend a school);
- Income should be less than 52% of the moderate livelihood cost (60% if a parent is less than 24 years old).

Income thresholds (in KRW per month) for Lone-Parent Support Subsidy in 2018 are:

Number of family members		2	3	4	5	6
Lone-parent or grandparent	(52% of the NBLS)	1 480 494	1 915 238	2 349 985	2 784 732	3 219 480
Youth lone-parent (less than 24)	(60% of the NBLS)	1 708 258	2 209 890	2 711 521	3 213 152	3 714 784

4.1.2. Benefit amount

The following benefits are available to lone parents:

- Child-rearing support subsidy: KRW 120 000 a month for children aged less than 13;
- Additional child-rearing support subsidy: KRW 50 000 a month for children aged less than 5, and who are parented by grandparents or unmarried single-parent aged 25 years old or above;

- Child education support subsidy (school supplies): KRW 54 100 a year for children who are enrolled in middle school or high school;
- Living cost assistance subsidy: KRW 50 000 a month for families living in lone-parent facilities (*not covered by the model*);
- Education support subsidy: entrance and enrolment fees for high school students who are from lone-parent family (*not covered by the model*).

In addition, there are benefits targeted specifically at young (less than 24 year old) lone-parents:

Subsidy Type	Child-rearing	School Qualification Exam	High School Education	Financial Independence Boost
Amount (KRW)	170 000 per month	Less than 1 540 000 per year	Actual costs	100 000 per month
Household Income Threshold	Less than 60% of the NBLS (Except recipients of the NBLS)	Less than 150% of the NBLS	Less than 60% of the NBLS (Except recipients of the NBLS)	53-60% of the NBLS (Except recipients of the NBLS)

Out of the benefits mentioned in the table only child-rearing subsidy is covered by the model.

4.1.3. Benefit duration

As long as the eligibility conditions hold.

4.1.4. Means test

The benefit is means-tested.

4.1.5. Tax treatment

The benefit is not taxable.

4.1.6. Interaction with other components of the tax-benefit system

None.

4.1.7. Combining benefit receipt and employment/starting a new job

Earned income is included in the means-test.

5. Childcare for pre-school children

The **reference date** for the policy rules described in this section is **July 1, 2016**.⁵

⁵ The childcare module of the tax-benefit model is updated every three year (next update: 2018).

5.1. *Gross childcare fees*

Code in the OECD tax-benefit model: [\[RKcc_cost\]](#)

Average child-care fees paid by parents are affected by such aspects as the child's age and the type of facilities. Types of childcare facilities are divided into those supported by the government (state-run, public, corporate childcare facilities) and not supported by the government (private childcare facilities). In 2016, monthly child-care fees are: KRW 430 000 per month for a child less than 1 year old, KRW 378 000 for 1 year old, KRW 313 000 for 2 years old, and KRW 220 000 for 3-5 year old per month.

5.1.1. *Discounts for part-time usage (not modelled)*

Childcare fees for part-time use are lower than for full-time use.

5.2. *Fee discounts and free provision*

The government supports facilities by providing subsidies for operating the facility such as labour costs. This makes child-care fees at government supported facilities cheaper than in unsupported facilities. For example, child-care fees for 5 year-olds are KRW 220 000 for government-supported facilities, and KRW 278 000 for unsupported facilities in Seoul.

5.3. *Child-care benefits for formal centre-based care*

Code in the OECD tax-benefit model: [\[cc_benefit\]](#)

5.3.1. *Eligibility*

All families with children up to 5 years old attending childcare are eligible.

5.3.2. *Benefit amount*

Support for children from 0 to 2 years old:

The childcare benefits are provided for 0-2 year olds who attend childcare. The government provides support to all households with 0 to 2 year-olds regardless of household income levels since 2013. In 2016, the standard amount of support per month was set at KRW 430 000 for children less than one year of age, KRW 378 000 for one year olds, KRW 313 000 for 2 year olds.

Support for children from 3 to 5 years old:

In the past, the childcare benefits for 3-5 year olds were provided for those using childcare facilities and kindergartens. However, since March 2012, with the introduction of the Nuri Course, recipients have expanded to include all households with 5-year olds regardless of household income level. In March 2013, Nuri Course was expanded to include 3-4 year olds without regard to their household income level. The total monthly benefits provided to an eligible child amount to KRW 220 000.

There is additional support for children with disabilities (*not covered by the model*).

5.3.3. *Benefit duration*

As long as eligibility holds.

5.3.4. Means test

Childcare benefits are provided for 0-5 year olds without regard to income levels.

5.3.5. Tax treatment

Child-care fee supported by the government is not taxed.

5.3.6. Interaction with other benefits

None.

5.3.7. Combining benefit receipt and employment/starting a new job

No restrictions.

5.4. Child care allowance for children not using child care centers

Code in the OECD tax-benefit model: [\[hca\]](#).

In the model this benefit is classified as part of Family benefits [\[FB\]](#).

To reduce burden of parents who do not enroll their children into childcare centers and to enhance fairness in the provision of the subsidies, the Korean government introduced the child care allowance for non-users of childcare centers in July 2009. In 2016, the government provided the following allowances regardless of household income levels for all children under 84 months (i.e. 7 years old) not using childcare centers:

Child's age (months)	0-11	12-23	24-84
Childcare allowance (KRW per month)	200 000	150 000	100 000

5.5. Tax concessions for childcare expenditures

The childcare expenditures related specifically to the education fees paid for children can be deducted from the tax on an employee's income under the tax laws.

5.5.1. Eligibility

An employee with wage and salary income who is a Korean tax resident is entitled to benefit from the above-mentioned tax credit (one of the special tax credits), where he or she paid the education fees for his or her child/children.

5.5.2. Maximum amount

The maximum amount to be credited is KRW 450,000. At first, the relevant education fees paid by the employee for his or her child are taken into account in the calculation of the amount within the scope of tax credit, up to KRW 3 million per a child. The relevant education fees mean the education expenses paid to child-care facilities, kindergarten, private teaching institutions, and sports facilities provided under the relevant rules and regulations. Then, the amount is subject to 15% credit rate.

In the model the use of public childcare is assumed, which is provided to all children up to 5 years old for free. Thus, in the model the amount of tax credit is zero.

5.5.3. *Variation by income*

There is no variation by income.

5.5.4. *Impact on overall income tax calculation*

The tax concession is made by the form of a tax credit, which could directly reduce the taxpayer's amount of tax paid.

6. In-work benefits

This section describes the following in-work benefits which are aimed at creating incentives for employment and re-employment: Early Re-employment Allowance (described in Section 6.1. and Earned Income Tax Credit (described in Section 6.2. . Other major programmes to support employed which are not covered by the model are described in the Annex.

6.1. *Early Re-employment Allowance (조기재취업수당)*

Early Re-employment Allowance aims to facilitate the recipients' re-entry into a job.

Code in the OECD tax-benefit model: [\[WorkBonus_p; WorkBonus_s\]](#)

6.1.1. *Eligibility conditions*

The Early Re-employment Allowance is granted to persons who get a steady job before the job-seeking allowance expires. A steady job is a job that guarantees more than 12 months of continuous employment; the number of working hours doesn't matter. When a person gets re-employed, a half or more days should be left until the end of job-seeking allowance.

6.1.2. *Benefit amount*

The benefit equals the amount equivalent to the daily job seekers' allowances multiplied by one half of the number of unpaid days.

6.1.3. *Benefit duration*

The benefit is paid as a lump-sum amount.

6.1.4. *Means test*

Not means-tested.

6.1.5. *Tax treatment*

Tax exemption is granted as part of unemployment allowance.

6.1.6. *Interaction with other components of the tax-benefit system*

The benefit is included in the income test for means-tested benefits, such as National Basic Livelihood Security, housing benefit, and lone-parent support subsidy.

6.1.7. *Combining benefit receipt and employment/starting a new job*

The benefit is targeted at recipients of job-seeking allowance who start a new and steady job.

6.2. *Earned Income Tax Credit (근로장려금)*

Code in the OECD tax-benefit model: [\[EIC_j\]](#)

Earned Income Tax Credit (EITC) was introduced on 1 January 2008 (the actual benefits to be made from 2009) to encourage low-income earners' participation in the labour market and to provide them with income support.

In the model the EITC is simulated in the income reference year, i.e. as if it is paid out by the end of the year for which the income is assessed.

6.2.1. *Eligibility conditions*

A Korean tax resident with either wage and salary income or business income is eligible for filing an application for EITC, if he or she ("the applicant") meets all the following requirements.

a) Dependant or age requirement: the applicant shall either have a spouse, a dependent child/children and/or parents or be 30 years or over of age or handicapped.

b) Income requirement: the sum of the annual income earned by the applicant and all of his/her household members shall be less than the threshold provided under the tax law.

c) Wealth requirement: the total value of the specified properties held by the applicant and all of his/her household members shall be less than KRW 140 million (*assumed to be satisfied in the model*).

The applicant should be a Korean national and cannot be a dependent child of any other Korean tax resident (*assumed to be satisfied in the model*).

6.2.2. *Benefit amount*

In 2017 the EITC was calculated in the following way:

Household type	Gross income from employment (X) (KRW, million per year)	Stage	Amount of EITC (KRW, million per year)
Single person	Less than 6	Phase-in	$85/600 \times X$
	6-9	Plateau	0.85
	9-13	Phase-out	$0.85 - (X - 9) \times 85/400$
One-earner household	Less than 9	Phase-in	$200/900 \times X$
	9-12	Plateau	2
	12-21	Phase-out	$2 - (X - 12) \times 200/900$
Dual-earner household	Less than 10	Phase-in	$250/1000 \times X$
	10-13	Plateau	2.5
	13-25	Phase-out	$2.5 - (X - 13) \times 250/1200$

6.2.3. Benefit duration

The eligibility for EITC benefit is assessed every year.

6.2.4. Means test

The eligibility and the amount of the EITC depend on both total annual income and wealth of the applicant and all of his/her household members. The total value of properties such as land, buildings, vehicles, and savings shall not exceed KRW 140 million. The total income thresholds are as follows.

Household type	Definition	Threshold (million in KRW)
Single person	A household that consists of neither spouse nor dependent child	13
One-earner household	1) A household where a spouse has less than KRW 3 million of annual income, or 2) A household that consists of no spouse but a dependent child or a parent aged over 70	21
Dual-earner household	A household that consists of a spouse and/or a dependent child/children, and the spouses' annual income is at least KRW 3 million per year	25

The amount of the credit is income-dependent. The calculations can be divided into three stages based on working income level: phase-in range, flat range and phase-out range. In the phase-in range, the EITC increases at a fixed rate as working income increases. In the flat range, the maximum amount is achieved and it is paid regardless of increase in working income. After that, in the phase-out range the EITC decreases at a fixed rate as working income increases until it reaches zero.

6.2.5. Tax treatment

The benefit is not taxed.

6.2.6. Interaction with other components of the tax-benefit system

The mere fact that a person is eligible for NBLS does not exclude the entitlement to benefit from the EITC. Therefore, a household who receives NBLS can simultaneously obtain EITC.

6.3. Child Care Tax Credit (자녀장려금)

Code in the OECD tax-benefit model: [CTC_j]

Child Care Tax Credit (CTC) was introduced on 1 January 2014 (the actual benefits to be made from 2015) to support childcare expenses for low-income earners. In the model CTC is implemented since 2014.

6.3.1. Eligibility conditions

A Korean tax resident with either wage and salary income or business income is eligible for filing an application for CTC, if he or she meets all the following requirements.

- a) Dependant requirement: the applicant shall have a dependent child /children
- b) Income requirement: the sum of the annual income earned by the applicant and his/her spouse shall be less than KRW 40 million
- c) Wealth requirement: the total value of the specified properties held by the applicant and all of his/her household members shall be less than KRW 200 million (*assumed to hold*).

The applicant should be a Korean national and cannot be a dependent child of any other Korean tax resident. The applicant cannot receive NBLIS.

6.3.2. Benefit amount

In 2018 the CTC was calculated in the following way:

Household type	Gross income from employment (X) (KRW, million per year)	Amount of CTC (KRW, million per year)
One-earner household	Less than 21	Number of children × 0.5
	Over 21, up to 40	Number of children × [0.5 – (X – 21) × 20/1900]
Dual-earner household	Less than 25	Number of children × 0.5
	Over 25, up to 40	Number of children × [0.5 – (X – 25) × 20/1500]

This is, in principle, a refundable tax credit.

6.3.3. Benefit duration

The eligibility for CTC benefit is assessed every year.

6.3.4. Means test

The eligibility and the amount of the CTC depend on both total annual income and wealth of the applicant and all of his/her household members.

6.3.5. Tax treatment

The benefit is not taxed.

6.3.6. Interaction with other components of the tax-benefit system

A person who receives all or part of NBLIS is not eligible for the CTC.

7. Social security contributions and payroll taxes

7.1. Employee social security contributions (가입자 기여금)

Variable names: `[P_SocSec; S_SocSec]`

National pension contribution rate is 4.5% of the standardised average monthly wage income. The scope of the standardised average monthly wage income is from KRW 290 000 to KRW 4 490 000 as of 1 July 2017.

If the average monthly wage income of a person is less than KRW 290 000, it is regarded as KRW 290 000. If the average monthly wage income of a person is more than KRW 4 490 000, it is regarded as KRW 4 490 000.

Medical insurance premium, which has a rate of 3.260423% (health insurance of 3.06% and long-term care insurance, which equals 6.55% of the latter), is levied on average monthly wage income. The scope of the average monthly wage income is from KRW 290 000 to KRW 78 100 000 as of 1 July 2017.

Unemployment insurance is 0.65% of gross income.

7.2. Employer social security contributions (사용자 부담금)

Variable names: `[SSCR_p; SSCR_s]`

National pension contribution rate and its application is the same as for employees.

Medical insurance premium rate and its application is the same as for employees.

Unemployment insurance is between 0.9% and 1.5% of gross income. In the model 0.9% is used.

Work injury insurance consists of an industry-specific rate which is set by the Ministry of Employment and Labour multiplied by total wage. In the model the average rate of all industries is used, which in 2018 equals 1.65%. In addition, the work injury insurance rate for any commuting accident is 0.15%. Thus, the total rate is 1.80%

8. Taxes

Each individual is taxed on his/her own income.

8.1. Personal income tax (소득세)

Code in the OECD tax-benefit model: `[INC_TAX_p; INC_TAX_s]`

8.1.1. Tax allowances

Employment Income Allowance: the following deduction from gross income is allowed for wage and salary income earners:

Gross Wage and Salary (KRW per year)	Deduction (KRW per year)
Up to 5 000 000	70% of the salary
5 000 000 to 15 000 000	3 500 000 + 40% of the salary over 5 000 000
15 000 000 to 45 000 000	7 500 000 + 15% of the salary over 15 000 000
45 000 000 to 100 000 000	12 000 000 + 5% of the salary over 45 000 000
Over 100 000 000	14 750 000 + 2% of the salary over 100 000 000

Personal allowance: personal allowance consists of basic deduction and additional deduction as follows.

Basic deduction: a taxpayer can deduct KRW 1 500 000 from his/her income for each person who meets one of following conditions (but not applied to part-time workers):

- Taxpayer him/herself;
- Taxpayer's spouse whose taxable income is less than KRW 1 000 000;
- Taxpayer's (including the spouse's) dependants (e.g. parents, children) within the same household satisfying income and age requirements. The taxable income of each dependant shall be less than KRW 1 000 000 and the age of each dependant shall be as follows:
 - parents: aged 60 years or older (*not covered by the model*);
 - brother/sister: aged 60 years or older or 20 years or under (*not covered by the model*);
 - children: aged 20 years or under.

Additional deduction: a taxpayer can deduct KRW 1 000 000 (KRW 500 000 in the case of c), KRW 2 000 000 in the case of b)) from his/her gross income when the taxpayer or his/her dependants fall into the following categories:

- a) a person aged 70 years or older (*not covered by the model*);
- b) a handicapped person (*not covered by the model*);
- c) a female wage earner who is either the head of a household with dependents (but without a spouse) or a female wage earner with a spouse;
- d) a single parent with lineal descendants or adopted children who are eligible for the above-mentioned basic deduction*.

※ Where both the categories c) and d) are simultaneously met, only the condition d) shall be applied for the purpose of taxation.

Allowance for national pension contribution: Employees can deduct the total amount of their national pension contributions.

Special and Other income deduction: Employees may deduct some expenses, subject to the specified requirements and limitations, such as compulsory insurance premiums (e.g. national health insurance, employment insurance), personal pension savings, long-term collective investment security savings, interest payments on the mortgage loans, the consumption amounts spent by way of credit/debit card, and so on. These deductions are not covered by the model.

8.1.2. Tax base

Tax base is calculated by deducting employment income deduction, personal allowance (basic deduction and additional deduction), allowance for national pension contribution and other income deduction (as explained above) from the gross employment income.

8.1.3. Income tax schedule

The following tax schedule is applied to the income starting on 1 January 2018:

Tax Base (KRW per year)	Tax rate (%)
Up to 12 000 000	6
Over 12 000 000, up to 46 000 000	15
Over 46 000 000, up to 88 000 000	24
Over 88 000 000, up to 150 000 000	35
Over 150 000 000, up to 300 000 000	38
Over 300 000 000, up to 500 000 000	40
Over 500 000 000	42

8.1.4. Tax credits

Employees are entitled to tax credit for wage and salary income, child tax credit, pension account tax credit, special tax credit for the specified payments (e.g. private insurance premiums, medical expenses, education expenses and qualified donation), and tax credit for house rent from the tax on their income, subject to the specified limitation under the tax rules.

Child tax credit:

- If an employee has a child/children within the scope of the above-mentioned basic deduction, the employee is allowed to gain child tax credit in the amount of KRW 150 000 per a child. But where the dependent children are three or more, the child tax credit is determined as KRW 300 000 plus KRW 300 000 per each from the third child.
- Tax credit for children under 6 years of age is abolished since 2018.
- An employee can also get the extra child tax credit for birth or adoption of a child (KRW 300 000 with a child, KRW 500 000 with two children, and KRW 700 000 with three or more children) in the taxable year (*not covered by the model*).

Lump-sum tax relief (Standard tax credit):

KRW 130 000 of tax credit per year is available to an employee where a special income deduction, special tax credit or tax credit for house rent are not applied.

8.2. Local income tax (지방소득세)

Variable names: [\[LOCTAX_j\]](#)

The local income tax base is the income tax paid to the central government. In the model a uniform rate of 10% is applied. However, the local government can adjust the rate between the lower limit of 5% and the upper limit of 15%.

Annex: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Korea that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Mutual Aid for Youths (청년내일채움공제)

The year 2018 marks the second anniversary of Mutual Aid for Youths, and there has been some change in the program since 2017. In 2017, the program targeted young people employed by SMEs through government employment support services, including government-funded internships and Employment Success Package. In 2018, the target has been expanded to include those who join SMEs voluntarily without government support. Moreover, requirements for business participation have been significantly eased. In 2017, businesses were required to pay at least 110% of the minimum wage to participate in the program. In 2018, however, the wage requirement has gone down to at least 100% of the minimum wage, reflecting the minimum wage hike in 2018. This has boosted the programs.

Subsidy for the Right Job for the “New Middle-Aged” (신중년적합직무고용장려금)

“Subsidy for the Right Job for the New Middle-Aged” is designed to create decent work for the “new middle-aged” by subsidizing the labour costs of businesses which hire people aged 50 and older for the right jobs for them. The right jobs for the new middle aged refer to those suited for their characteristics and career backgrounds, contributing to their re-entry to the labour market. Subsidy for the Right Job for the New Middle-Aged targets businesses eligible for preferential support and small and mid-sized businesses under the Employment Insurance Act. The Subsidy amounts to KRW 800 000 for businesses eligible for preferential support and KRW 400 000 for small and mid-sized businesses per month for up to one year.

Hope Growing Account (희망키움통장)

Hope Growing Account is an asset-building support program for low income families which provides labour incentives and helps recipients save money to become self-sufficient. The First Hope Growing Account was introduced in 2010 and targeted at NBLS households whose total household incomes are above 60% of 40% of the median income. Through this Account, they receive the incentives to work as well as the support to save up money to become self-sufficient. The Second Hope Growing Account was introduced in 2014 for families near the poverty line with the income under 120% of the minimum cost of living and the total earned income above 70% of the minimum cost of living.